need to develop an approach that was different from what anyone else was doing, and that is what he did. He was also able to recognize from very early on when a methodology didn't suit him. After setting up a real-time quote system to manually day-trade the markets, he abandoned the process after only three days, as he quickly realized, *This isn't me. This just doesn't work for me.*

[1]Commodity Trading Advisors (CTAs) are managers who trade futures and are registered with the Commodity Futures Trading Commission (CFTC). This official nomenclature is poorly chosen on at least two grounds: Commodity Trading Advisors are managers, not advisors, and a large majority of the trading they engage in is in financial markets (e.g., stock indexes, interest rates, and currencies) rather than commodities.

[2]Management fees are collected on assets under management. Incentive fees are collected as a percent of profits earned above a *high-water mark*—the highest NAV level at which incentive fees were previously collected. Almost all CTAs and hedge funds charge both types of fees; Woodriff charges a higher-than-normal incentive fee, but no management fee.

[3]The actual account compounded by a lesser amount because Woodriff was withdrawing money from the account to cover his living expenses and pay Geismar.

[4]Woodriff was the first interview I conducted for this book and also the last chapter I completed. A little more than a year later, I sent Woodriff the completed chapter to check for accuracy. His e-mail back finished on the following ironic note: "If you can believe it, coming full circle for this chapter, I am coming down with another bad cold right now and my head is fogging up!"

[5]Data mining refers to the process of using computers to analyze large amounts of data to discover patterns in the data. Although data mining techniques can uncover patterns in data that would be impossible for humans to find empirically or by prior hypotheses, it can also identify meaningless patterns that are nothing more than chance occurrences or the product of flaws in the analytical process. When searching very large numbers of combinations of past price data for patterns, it is easy to come up with many patterns that worked well in the past simply by chance, but